IN THE NATIONAL COMPANY LAW TRIBUNAL,
SINGLE BENCH, CHENNAI

CA/209/CAA/2018
&
CA/210/CAA/2018

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Amalgamation

Between

M/s. Gujarat Agrochem Private Limited
(Transferor Company)

And

M/s. Targos Chemicals India Private Limited
(Transferee Company)

Order delivered on 3rd January, 2019

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CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL)

For Applicant(s): Mr. Abhishek Raman, Counsel
for Mr. Pawan Jhabakh

ORDER

Per: CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL)

1. Under consideration are Application Nos. CA/209/CAA/2018 and CA/210/CAA/2018 filed under Sections 230 to 232 of the Companies Act, 2013. The prayer made is to dispense with convening, holding and conducting of the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors in relation to the Transferor Company. Further, to dispense with the convening, holding and conducting of a meeting of the Equity Shareholders, Creditors and filing of Petition in relation to the Transferee Company. Both the Applications are pertaining to the same Scheme, therefore, are taken together to pass a common order.

2. **M/s. Gujarat Agrochem Private Limited:**

i. The Transferor Company viz., M/s. Gujarat Agrochem Private Limited has 5 (Five) Equity Shareholders. The list of Equity Shareholders is placed at page 161 of the typed set filed with the

Application. The consent affidavits given by the Equity Shareholders are placed at pages 162 to 174 of the typed set filed with the Application, wherein it has been deposed that they do support the Scheme and consent to dispense with convening, holding and conducting the meeting of Equity Shareholders. Therefore, the meeting of the Equity Shareholders of the Transferor Company is allowed to be dispensed with.

ii. There are 2 (Two) Secured Creditors in relation to the Transferor Company. The Certificate issued by the Charted Accountant to this effect is placed at page 145 of the typed set filed with the Application. The No-Objection Certificates and consent affidavits given by the Secured Creditors are placed at pages 146-151 of the typed set filed with the Application, wherein it has been deposed that they do support the Scheme and consent to the same. Therefore, the meeting of the Secured Creditors of the Transferor Company is allowed to be dispensed with under Clause (9) of the Section 230 of the Companies Act, 2013.

iii. There are 253 (Two Hundred and Fifty Three) Unsecured Creditors in relation to the Transferor Company. The list certified by the Chartered Accountants of the Unsecured Creditors is placed at pages 152-157 of the typed set filed with the application. The meeting of the Unsecured Creditors is directed to be conducted on 11.02.2019, at 11:00 A.M., at C-417, 4th Floor, 215, Atrium, Andheri-Kurla Road, Near Hotel Courtyard Marriot, Andheri (East) Mumbai-400093.

Mr. Kailash, Director, alternatively Mr. Ashok Kumble, Head of Procurement of the Transferor Company is hereby appointed as the Chairman of the Meeting of the Unsecured Creditors. The quorum for meeting is fixed at 10. In case the quorum is not there at the designated time when the meeting is called, then, the meeting shall be adjourned by half an hour, and thereafter, the person present for voting shall be deemed to constitute the quorum. The notice of the meeting of Unsecured Creditors shall be issued at least not less than 30 days prior to the date fixed for the

meeting. The service of notice shall be effected by speed post/through electronic means, provided the e-mail address of the Unsecured Creditors is available with the Transferor Company.

The Transferor Company is also directed to make available the facility for voting by making appropriate arrangements. The information about such arrangements shall be given to the Unsecured Creditors well before the date fixed for the meeting. Those who received the notices may vote in the meeting either in person or through proxy for the adoption of the Scheme. The Chairman shall ensure that the proceedings of the meeting may take place in a just, free and fair manner, and within one week of the meeting, the Chairman shall file the report pertaining to the meeting of Unsecured Creditors before this Bench. The Chairman of the meeting is at liberty to fix his remuneration as per the practice in vogue and the company shall pay the same to him.

3. **M/s. Targos Chemicals India Private Limited:**

i. The entire equity share capital of the Transferor Company viz., M/s. Gujarat Agrochem Private Limited is held by the Transferee Company viz., M/s. Targos Chemicals India Private Limited, thereby making it as the Holding Company and Transferor Company as the wholly-owned subsidiary. In pursuance of the above stated position, the Transferee Company prayed to dispense with the process of convening and holding meetings of its Shareholders, Secured Creditors and Unsecured Creditors and with the requirement of filing any further petition(s) subsequent to the present application.

In connection with the above, we may make a reference to the ruling of the Hon'ble High Court of Delhi given in **Sharat Hardware Industries P. Ltd.** in re [(1978) 48 Com Cas 23], wherein the court observed that *"... if a scheme by way of transfer of undertaking does not affect the rights of the members or creditors of the Transferee Company, as between themselves and the*

company, or does not involve a reorganisation of the share capital of the Transferee Company, no application by the Transferee Company under Section 391 or Section 394 would be necessary."

4. The Registry is directed to issue notice to the concerned Regional Director, Ministry of Corporate Affairs, RoC concerned and Income Tax Authorities including the Assessing Officer of the I.T. Circle in relation to the Applicant Company, and also notice to OL in relation to the Transferor Company with the direction to appoint Chartered Accountant on his own for filing report. Since the Applicant Companies are Private Limited, there is no requirement to issue notice to SEBI or other stock exchanges and CCI or other sectoral regulators. In case, the statutory authorities to whom the notice is issued are desirous of making any objection/representation, they may do so within 30 days from the date of receipt of the notice. In case no objection/representation is made, it shall be presumed that they/any of them have/has no objection/representation to make.

5. The Applicant Company is directed to issue private notice to the said authorities/regulators by way of speed post/hand delivery separately. The proof of sending and effecting the service of notice upon them along with the newspaper publication shall be submitted with the supporting affidavit to this Bench along with Company Petition(s).

6. The Applicant Company is directed to effect publication in the newspapers one in English "Business Line" (Tamilnadu Edition) and another in vernacular "MalaiChudar" (Tamilnadu Edition) provided the said newspapers have wide circulation in the State of Tamilnadu, having not less than 30 + 2 days before filing the Company Petition. The Applicant Company is directed to upload the notice on its website and display the notice on the notice board at its Registered Office. The Registry is also directed to display the notice on the notice board of this Bench.

7. Accordingly, the Applications are **allowed**. The Applicant Company is directed to present the Petition within a week's time after filing of the report by the Chairman.

[CH. MOHD. SHARIEF TARIQ]
MEMBER (JUDICIAL)

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